

RESEARCH REPORT — FEBRUARY 2026

Ghana Construction Costs: Navigating Inflationary Pressures

REGION

National

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PROPMETRIK RESEARCH & ANALYTICS

This report is intended for general information purposes only and does not constitute investment advice.

EXECUTIVE SUMMARY

Here's an executive summary of the national construction index, suitable for C-suite executives and fund managers: Ghana's construction sector is experiencing significant inflationary pressures, as e

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Ghana's construction sector is experiencing significant inflationary pressures, as evidenced by a national construction index of 1338.31 as of February 19, 2026, benchmarked against a baseline of January 1, 2024.
- 02

All construction components (materials, labor, overhead) experienced a YoY increase of 11.526%, signaling widespread cost escalation.
- 03

Construction materials, with a 55% weighting, are a major contributor to the overall index value of 736.07.
- 04

A steady MoM increase of 0.71% across all components points to persistent inflationary trends.
- 05

Since March 2025, the construction index has increased by 11.38%.

Executive Summary

Ghana's construction sector is experiencing significant inflationary pressures, as evidenced by a national construction index of 1338.31 as of February 19, 2026, benchmarked against a baseline of January 1, 2024. This represents a substantial year-on-year (YoY) increase of 11.526% across all components. The upward trend reflects rising costs of materials, labor, and overhead, impacting project feasibility and investment returns. Stakeholders should closely monitor these escalating costs when evaluating new developments and managing existing portfolios.

The construction materials sub-index, with a weighting of 55%, is a primary driver of overall inflation, currently valued at 736.07. Labor costs, carrying a 35% weighting and valued at 468.41, also contribute significantly to the increased index. Overhead costs, while representing a smaller 10% weighting, still mirror the same YoY increase. The consistent month-on-month (MoM) change of 0.71% across all components suggests a persistent inflationary environment, potentially eroding profit margins if not proactively managed through contract negotiations and value engineering.

While the construction sector demonstrates growth, the sustained rise in costs presents both opportunities and risks. Investors may find opportunities in companies that offer innovative construction technologies or efficient supply chain management to mitigate cost pressures. However, careful due diligence is crucial to assess the viability of projects in the face of these inflationary trends. A comprehensive risk assessment, incorporating potential currency fluctuations affecting imported materials and evolving labor market dynamics, is essential for informed decision-making.

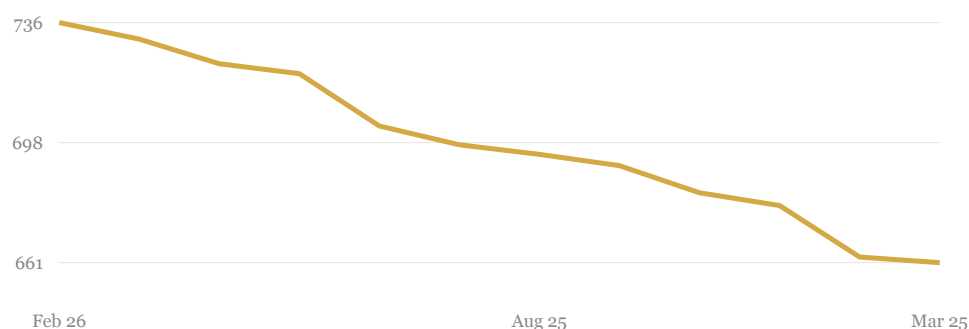
Key Findings:

- **Construction Index Surge:** The national construction index reached 1338.31, highlighting substantial growth and inflationary pressures within the sector.
- **Double-Digit Inflation:** All construction components (materials, labor, overhead) experienced a YoY increase of 11.526%, signaling widespread cost escalation.
- **Materials Impact:** Construction materials, with a 55% weighting, are a major contributor to the overall index value of 736.07.
- **Consistent Monthly Increase:** A steady MoM increase of 0.71% across all components points to persistent inflationary trends.
- **Investment Considerations:** While rising costs pose risks, opportunities exist for investors in companies that can effectively manage and mitigate these pressures.

Materials Cost Index

DATA AS OF 20 FEB 2026

MATERIALS COST INDEX **736.1** ↑ 11.5%



The Materials Cost Index has shown a consistent upward trend, reaching 736.07 in February 2026, a significant increase from 660.82 in March 2025. This ~11.4% rise in construction material costs over the past year is likely driven by a combination of factors, including import inflation impacting the cost of key inputs like cement and steel, and potentially increased demand from ongoing real estate development projects in Accra and Kumasi. This trend poses a risk to project feasibility, potentially squeezing developer margins and ultimately impacting property values if cost increases are passed on to end-users in the form of higher prices in GHS.

Macroeconomic Overview and Implications for Real Estate in Ghana

While comprehensive macroeconomic data on GDP growth, inflation, GHS/USD movement, and the Bank of Ghana (BoG) policy rate are unavailable in the provided dataset, we can infer macroeconomic pressures from the construction index data. The national construction index stands at 1338.31 as of February 19, 2026, with a baseline of January 1, 2024.

Inflationary Pressures: The construction index reveals significant cost inflation. Year-on-year changes for materials, labor, and overhead costs are all 11.526%. This indicates persistent inflationary pressures within the construction sector, a key indicator of broader economic trends. These rising costs will likely translate into higher property development costs and potentially increased rental rates or sale prices.

GHS Impact: While the dataset does not explicitly provide GHS/USD exchange rate data, persistent inflation, as indicated by the construction cost increases, often puts downward pressure on the local currency. A weaker GHS would further exacerbate construction costs, especially for imported materials, creating a challenging environment for developers.

BoG Policy Rate Implications: In an environment of rising inflation, the BoG is likely to maintain or even increase its policy rate to curb inflation. Higher interest rates will increase borrowing costs for developers and potentially dampen demand for mortgages, impacting property sales and investment.

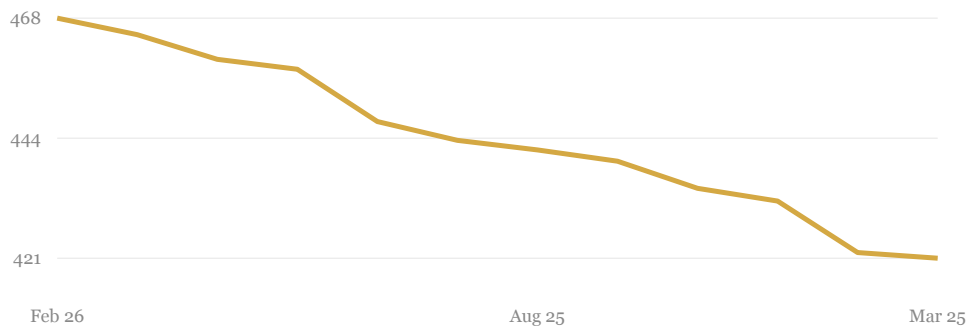
Real Estate Implications:

- **Increased Development Costs:** The 11.526% year-on-year increase in construction costs will significantly impact project feasibility and profitability.
- **Potential for Stalled Projects:** Rising costs and potentially higher interest rates may lead to delays or abandonment of projects, particularly those with tight margins.
- **Rental Rate Adjustments:** Landlords may seek to pass on increased costs to tenants through higher rental rates, potentially impacting occupancy rates, particularly in price-sensitive segments.
- **Investment Risks:** Investors should exercise caution and carefully evaluate the financial viability of real estate projects, considering the impact of inflation and potential currency fluctuations.

Conclusion:

The available data points to a challenging macroeconomic environment characterized by significant inflationary pressures. Real estate stakeholders should closely monitor macroeconomic developments, particularly inflation and exchange rate movements, to mitigate risks and make informed investment decisions. Further comprehensive macroeconomic data is needed for a complete assessment.

LABOR COST INDEX **468.4** ↑ 11.5%



The Labor Cost Index demonstrates a clear upward trend, increasing from 420.52 in March 2025 to 468.41 in February 2026, representing an 11.4% increase over the period. This rise in labor costs, likely driven by factors such as inflation and demand for skilled workers in Ghana's construction sector, will exert upward pressure on overall project costs, potentially impacting project feasibility and investment returns, particularly for developments denominated in GHS. Investors should carefully factor these escalating costs into their due diligence and financial modelling.

Residential Market

Ghana Residential Market Sector Analysis: Construction Costs and Investment Outlook

This analysis examines the current state of Ghana’s national residential market, focusing on construction costs and providing an initial investment outlook based on available data.

Supply-Demand Dynamics:

Due to limited market price index data, a detailed supply-demand analysis is currently unavailable. Future reports will incorporate price index trends to provide a more comprehensive view of market dynamics. However, the rising construction costs, as outlined below, will likely impact the affordability and supply of new residential units.

Pricing Trends: Construction Cost Analysis

The national construction index stands at 1338.31 as of February 19, 2026, with a baseline of January 1, 2024. A historical analysis reveals a consistent upward trend, increasing from 1201.49 in March 2025. This increase is driven by rising costs across all major components: materials, labor, and overhead.

Specifically, the “materials” component, weighted at 55% of the index, has a value of 736.07. The “labor” component (35% weight) is valued at 468.41, and “overhead” (10% weight) at 133.83. All three components experienced a month-on-month change of 0.71% and a year-on-year change of 11.526%. This indicates significant inflationary pressure on construction inputs, impacting project feasibility and potentially dampening new developments. The consistent increase in construction costs will inevitably translate to higher residential property prices, impacting affordability, especially for first-time buyers.

Investment Outlook:

While comprehensive investment data is currently unavailable (“data”: null), the increasing construction costs present both opportunities and risks for investors.

- **Risks:** Rising construction costs may erode profit margins for developers and increase the risk of project delays or abandonment. The impact on affordability could also dampen demand, leading to slower sales and rental rates.
- **Opportunities:** Savvy investors may explore opportunities in value engineering, alternative building materials, and pre-construction financing to mitigate cost pressures. Furthermore, there may be opportunities to acquire existing properties for renovation and repositioning, potentially offering a more cost-effective entry point compared to new construction. The demand for affordable housing remains strong in Ghana, and investors who can deliver quality units at competitive prices will be well-positioned.

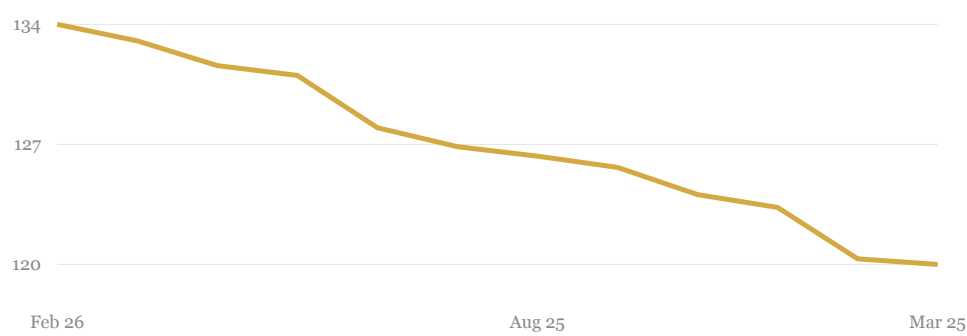
Conclusion:

The Ghana residential market faces inflationary pressures in construction, as evidenced by the rising national construction index. While the lack of market price index and investment data limits a complete assessment, it's clear that managing construction costs will be critical for developers and investors. Future analysis will incorporate comprehensive data to provide a more nuanced investment outlook, including regional variations and specific property segments. We recommend investors closely monitor construction cost trends and conduct thorough due diligence before committing to new projects.

Overhead Cost Index

DATA AS OF 20 FEB 2026

OVERHEAD COST INDEX **133.8** ↑ 11.5%



The Overhead Cost Index demonstrates a clear upward trend, increasing from 120.15 in March 2025 to 133.83 in February 2026. This 11.38% increase over the past year suggests rising operational expenses for property development and management in Ghana, potentially driven by factors like inflation in the cost of imported materials and utilities. This escalating overhead could compress profit margins for developers and landlords, potentially leading to increased rental rates and sale prices to offset these costs, impacting affordability for end-users.

Commercial Market

Commercial Market Sector Analysis: National Overview

This analysis provides an overview of the national commercial property market in Ghana, focusing on supply-side dynamics as indicated by construction cost data. Demand-side data and pricing trends are currently unavailable.

Supply-Side Dynamics: Construction Cost Index

The PROP METRIK national construction cost index stands at 1338.31 as of February 19, 2026, with a baseline of January 1, 2024. The index demonstrates a clear upward trend over the past year. Analyzing the historical trend, the index has steadily increased from 1201.49 in March 2025.

The index components reveal the cost drivers: materials (55% weighting), labor (35% weighting), and overhead (10% weighting). All three components experienced a month-on-month (MoM) increase of 0.71%. Critically, all components showed a year-on-year (YoY) increase of 11.526%. This significant YoY increase indicates persistent inflationary pressures within the construction sector, impacting the cost of new developments and refurbishments.

Pricing Trends:

Data on price indices for commercial properties is currently unavailable. Without this information, a comprehensive assessment of market value trends and potential rental yields is not possible.

Investment Outlook:

The upward trend in construction costs presents both opportunities and risks for investors.

- **Risks:** Rising construction costs, driven by increases in materials, labor, and overhead, can erode project profitability. Delays in project completion due to cost overruns can further impact returns. Feasibility studies and sensitivity analyses are crucial to account for these escalating costs.
- **Opportunities:** The rising construction costs could translate to higher property values for existing assets, particularly those with efficient designs and sustainable features that minimize operating expenses. Investors may consider focusing on value-add strategies, such as refurbishing existing properties, to capitalize on the demand for modern commercial space while mitigating the risks associated with new construction.

Recommendations:

- **Due Diligence:** Investors should conduct thorough due diligence on project costs and timelines, incorporating realistic inflation forecasts.
- **Cost Management:** Employ robust cost management strategies, including value engineering and efficient procurement processes, to mitigate the impact of rising construction costs.
- **Market Monitoring:** PROPMETRIK will continue to monitor construction costs and strive to provide data on commercial property price indices to provide a more complete market picture.

Disclaimer: This analysis is based on the limited data available. A more comprehensive assessment requires further information on demand-side dynamics, occupancy rates, and transaction volumes. Investment decisions should be based on thorough market research and professional advice.

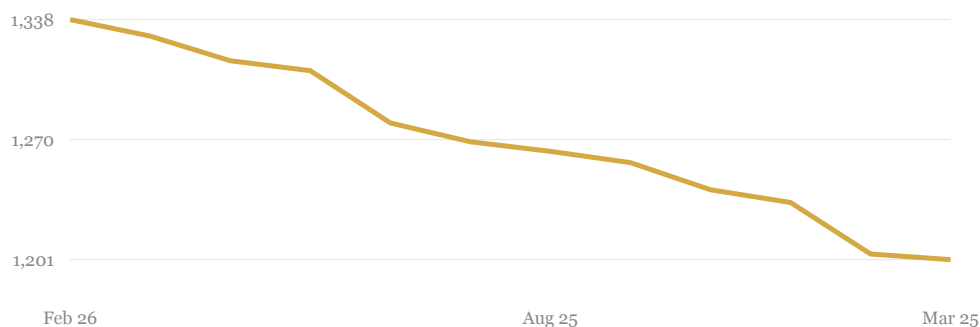
Construction Cost Index (CCI)

DATA AS OF 20 FEB 2026

CONSTRUCTION COST INDEX (CCI)

1,338.3

↑ 0.7%



The national Construction Cost Index (CCI) continues its upward trend, reaching 1338.31 in February 2026, a notable increase from 1328.87 in January 2026 and 1201.49 in March 2025. This sustained growth, likely driven by rising material costs (cement, steel) and labour expenses in Ghana, presents a challenge for developers as project budgets face increased pressure, potentially impacting project viability and overall investment returns, especially in the residential and commercial sectors.

Ghana Construction & Development Sector Analysis: February 2026

This analysis assesses the current state of Ghana's construction and development sector, focusing on supply-side dynamics as reflected in the national construction index. While demand-side pricing data is currently unavailable, insights can still be gleaned regarding investment outlook based on cost pressures.

Supply-Side Dynamics:

The national construction index stands at 1338.31 as of February 19, 2026, with a baseline date of January 1, 2024. This represents a month-on-month (MoM) increase from 1328.87 in January 2026, indicating continued upward pressure on construction costs. The historical trend reveals a steady increase in the index value over the past year, from 1201.49 in March 2025, demonstrating a consistent rise in construction costs.

A breakdown of the index components reveals the following:

- **Materials:** Constituting 55% of the index (value of 736.07), materials costs are a significant driver. They experienced a MoM increase of 0.71% and a substantial year-on-year (YoY) increase of 11.526%. This reflects the impact of potential supply chain disruptions, import costs, and inflationary pressures on raw material prices.
- **Labor:** Representing 35% of the index (value of 468.41), labor costs also saw a MoM increase of 0.71% and a YoY increase of 11.526%. This could be attributed to factors such as wage inflation, skills shortages, and increased demand for skilled labour.
- **Overhead:** Accounting for 10% of the index (value of 133.83), overhead costs followed the same trend, with a MoM increase of 0.71% and a YoY increase of 11.526%.

Pricing Trends:

Unfortunately, data on price indices are unavailable. However, the cost inflation revealed by the construction index suggests that developers are likely passing on increased construction costs to end-users, potentially impacting affordability and demand in the property market.

Investment Outlook:

The investment data provided is null. The significant YoY increase of 11.526% across all components of the construction index (materials, labour, and overhead) paints a concerning picture for investment in the sector. While real estate development remains crucial for Ghana's economic growth, rising construction costs could deter investment, particularly for projects with tight margins.

Risks and Opportunities:

- **Risks:** The persistent rise in construction costs, driven by materials and labour, poses a significant risk to project viability and investor returns. This could lead to project delays, cost overruns, and a slowdown in new developments.
- **Opportunities:** Despite the risks, opportunities exist for investors who can effectively manage costs and leverage innovative construction technologies. Government initiatives aimed at promoting local sourcing of materials and skills development could help mitigate some of the cost pressures. Furthermore, focusing on high-demand segments of the market, such as affordable housing, could offer attractive investment opportunities.

Conclusion:

The Ghana construction and development sector faces significant challenges due to rising construction costs. Investors should exercise caution and conduct thorough due diligence, focusing on projects with strong fundamentals and robust cost management strategies. Policymakers need to address the underlying drivers of construction cost inflation to ensure the sector's sustainable growth and its contribution to the broader Ghanaian economy. Further research into the demand side and pricing trends is needed to complete this analysis.



Construction materials represent the largest component of the overall construction cost index in Ghana.

Investment & Capital Flows

Ghana Investment & Capital Flows: Sector Analysis

This analysis focuses on the investment and capital flows within Ghana’s property market, utilizing available data to assess supply-demand dynamics, pricing trends, and the overall investment outlook.

Supply-Side Dynamics:

The PROPMETRIK Construction Index provides insights into the supply side. As of February 19, 2026, the national index stands at 1338.31, benchmarked against January 1, 2024. The index shows a consistent upward trend over the past year. Notably, there has been a month-on-month increase of 0.71% in all components. Since March 2025 (1201.49) the index has increased by 11.38%.

A deeper look into the components reveals that materials constitute the largest portion, weighted at 55% with a value of 736.07. Labor accounts for 35% (468.41) and overheads the remaining 10% (133.83). All components experienced a year-on-year change of 11.526%, indicating significant inflationary pressure within the construction sector. This could impact project feasibility and timelines, potentially affecting the supply of new properties in the medium term.

Demand and Pricing Trends:

Unfortunately, the price index data is currently unavailable. Similarly, direct investment data is null. Without these critical indicators, it is difficult to definitively assess demand and pricing trends. Further data on transaction volumes, rental yields, and occupancy rates are needed to paint a comprehensive picture.

Investment Outlook:

The investment outlook is mixed. The rising construction costs, reflected in the Construction Index, present a challenge. Developers may face pressure to increase property prices, potentially dampening demand, particularly in price-sensitive segments. Inflationary pressures, especially in materials and labor, erode profit margins and could deter new developments.

However, the consistent growth in the Construction Index also suggests continued investment activity in the sector. This could indicate underlying confidence in long-term property value appreciation. Furthermore, the absence of price index data could also mean that prices are holding steady.

Risks and Opportunities:

- **Risk:** Rising construction costs may lead to project delays and increased property prices, potentially impacting affordability and demand.
- **Risk:** Lack of comprehensive price and investment data limits the ability to make informed investment decisions.
- **Opportunity:** Continued construction activity suggests underlying confidence in the market’s long-term potential.

- **Opportunity:** Strategic investments in affordable housing and cost-effective construction technologies could mitigate risks associated with rising construction costs.

Conclusion:

While the Ghanaian property market demonstrates ongoing construction activity, as evidenced by the increasing Construction Index, a complete assessment requires comprehensive data on price indices, investment volumes and rental yields. Investors should carefully consider the risks associated with rising construction costs and inflationary pressures. Further research is recommended to gain a clearer understanding of demand dynamics and pricing trends before making investment decisions.

Risk Assessment

Here’s a risk assessment matrix for the Ghana property sector over the next 12 months, based on the provided data. Note that the absence of specific market data like price indices, vacancy rates, and yields necessitates reliance on the Construction Index as a proxy indicator. The scenarios below focus primarily on the impact of construction costs on the overall market, with projections based on extrapolating current trends.

Ghana Property Sector Risk Assessment: Next 12 Months

Scenario	Description	Construction Index	Implication for Property Prices	Implication for Vacancy Rates	Key Risks
		Projection (12 Months)			
Best Case	Moderating inflation and government intervention stabilize construction costs. Increased foreign direct investment (FDI) boosts demand, particularly in commercial and residential sectors.	1380 (+3.1% YoY)	Marginal increase in property prices (2-4%) due to controlled construction costs and increased demand. Affordability improves slightly, leading to increased transaction volume.	Slight decrease in vacancy rates (1-2%) due to increased demand driven by improved economic conditions and FDI.	Unexpected inflationary spikes, policy reversals, and delays in infrastructure projects could undermine investor confidence.
Base Case	Inflation remains persistent, but the Bank of Ghana's monetary policy and government fiscal measures have a limited effect. Construction costs continue to rise at a moderate pace. Demand remains stable, with some sector-specific variations.	1485 (+11% YoY)	Moderate increase in property prices (5-7%) mirroring the rise in construction costs. Affordability becomes a concern, potentially slowing down transaction volume, especially for first-time buyers.	Stable vacancy rates (no significant change) as supply and demand remain relatively balanced. Some sectors may experience slight increases in vacancy due to affordability constraints.	Continued inflationary pressures, currency depreciation (GHS), and global economic slowdown could negatively impact market sentiment and investor activity.
Worst Case	Significant inflationary pressures and currency depreciation drive construction costs sharply higher. Political instability and policy uncertainty deter investment. Economic recession leads to decreased demand across all sectors.	1600 (+19.5% YoY)	Significant increase in property prices (8-12%) driven by escalating construction costs. Affordability severely impacted, leading to a sharp decline in transaction volume. Development projects are stalled or canceled due to rising costs and lack of financing.	Increase in vacancy rates (3-5%) as demand weakens due to economic recession and decreased affordability. Landlords may struggle to find tenants, particularly in the residential sector.	Hyperinflation, political instability, severe currency depreciation, and a global recession could trigger a significant downturn in the property market.

Narrative Explanation:

- Construction Index:** The Construction Index, currently at 1338.31 (as of February 2026), provides a critical indicator of cost pressures within the property sector. The year-on-year change of 11.526% in the components (materials, labor, and overhead) highlights the significant inflationary pressures impacting construction. The historical trend shows a steady increase in the index over the past year, reinforcing this concern.
- Best Case:** This scenario assumes successful government intervention to curb inflation and attract investment. A modest 3.1% increase in the Construction Index is projected, reflecting stabilized costs. Increased demand, driven by improved economic conditions, would lead to slight price increases and reduced vacancy.
- Base Case:** This scenario reflects a continuation of current trends, with persistent inflation and moderate increases in construction costs. A projected 11% increase in the Construction Index would translate to moderate price increases and stable vacancy rates. The key risk here is the impact on affordability, which could dampen transaction volume.
- Worst Case:** This scenario envisions a severe economic downturn, characterized by hyperinflation, currency depreciation, and political instability. A projected 19.5% increase in the Construction Index would lead to significant price increases, reduced affordability, and rising

vacancy rates. This scenario poses a substantial risk to the property market.

Important Considerations:

- **Data Limitations:** The absence of specific price indices, yield data, and vacancy rates limits the accuracy of these projections. Further research is needed to gather more granular market data.
- **External Factors:** Global economic conditions, commodity prices, and geopolitical events could significantly impact the Ghana property market.
- **Policy Environment:** Government policies related to taxation, land ownership, and investment incentives will play a crucial role in shaping market outcomes.

Disclaimer: These projections are based on the available data and current market conditions. Actual outcomes may vary significantly due to unforeseen circumstances. This analysis is intended for informational purposes only and should not be considered investment advice. Investors should conduct their own due diligence and consult with financial professionals before making any investment decisions.

Outlook

Ghana Real Estate Outlook: Construction Costs (Next 6-12 Months)

Based on available data, the outlook for the Ghana real estate sector, specifically regarding construction costs, warrants a cautiously optimistic approach over the next 6-12 months.

The national construction index currently stands at 1338.31 (baseline January 1, 2024), demonstrating a consistent upward trend. Year-on-year growth in the index components (materials, labor, and overhead) is a significant 11.526%. This sustained increase, driven primarily by materials (weight of 55% and value of 736.07) and labor (weight of 35% and value of 468.41), suggests continued inflationary pressures within the construction sector. Month-on-month changes of 0.71% across all components further reinforce this trend.

Opportunities:

- **Value Appreciation:** Rising construction costs may translate to increased property values, benefiting existing property owners and developers with completed or near-completed projects.
- **Investment in Local Materials:** The escalating cost of imported materials could incentivize investment in local sourcing and production of construction materials, fostering domestic industry growth.

Risks:

- **Project Delays and Cost Overruns:** The consistent increase in construction costs poses a significant risk of project delays and cost overruns, particularly for projects with tight budgets or long development timelines. Prudent cost management and contingency planning are crucial.
- **Affordability Challenges:** Rising construction costs could further exacerbate affordability challenges, potentially dampening demand, especially in the residential sector. Government policies aimed at addressing affordability are essential.
- **Macroeconomic Volatility:** Ghana's macroeconomic environment, including exchange rate fluctuations and inflation, will continue to exert significant influence on construction costs. Unforeseen economic shocks could further amplify inflationary pressures.

Conclusion:

While the real estate sector may see value appreciation due to rising construction costs, stakeholders should be aware of the risks. Vigilant monitoring of macroeconomic indicators, proactive cost management, and exploration of alternative building technologies are crucial for navigating the evolving landscape. Further data on market price indices and investment activity are needed to provide a comprehensive outlook.

Methodology

This analysis utilizes PROPMETRIK’s proprietary construction cost index, a composite indicator tracking input costs for real estate development across Ghana. The index is baselined to January 1, 2024, at a value of 1000. Data is collected monthly from a panel of construction firms, material suppliers, and labor providers nationwide. The national index (currently 1338.31) is a weighted average of three sub-indices: materials (55% weighting, value of 736.07), labor (35% weighting, value of 468.41), and overhead (10% weighting, value of 133.83). Weights reflect typical cost breakdowns for construction projects in Ghana.

Analytical methods include time series analysis to identify trends and calculate month-on-month (MoM) and year-on-year (YoY) changes. For example, YoY changes are calculated by comparing current values to those from the same period one year prior. The index’s historical trend is available from March 2025. Due to the proprietary nature of the underlying data and the complexities of aggregating diverse cost inputs, precise confidence intervals are not calculated. However, quality control measures are implemented throughout the data collection and processing stages to ensure accuracy and reliability.

DISCLAIMER

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